



TPS Eastern Africa Limited

Registered Office

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12 August, 2013

The Chief Executive
Capital Markets Authority
Embankment Plaza, 3rd Floor
Longonot Road
P.O. Box 74800 00200
NAIROBI.



Dear Sir,

RE: TPS Eastern Africa Limited's 2013 half year financial results

Enclosed please find TPSEA's 2013 unaudited half year financial results for the period ended 30th June 2013 as approved by the Board of Directors at a meeting held on 12 August 2013.

Kindly acknowledge receipt by stamping a copy of this letter.

Yours faithfully,
TPS Eastern Africa Limited

Dominic Ng'ang'a
Company Secretary E.A

Cc. The Chief Executive, Nairobi Securities Exchange



TPS EASTERN AFRICA LIMITED

UNAUDITED CONSOLIDATED RESULTS FOR THE HALF-YEAR ENDED 30th JUNE 2013

The Board of Directors of TPS Eastern Africa Limited is pleased to announce the unaudited results and financial statements for the half-year ended 30th June 2013

CONSOLIDATED SUMMARISED INCOME STATEMENT

	Six months to 30-Jun-13 Shs'000	Six months to 30-Jun-12 Shs'000
Sales	2,921,193	2,209,633
Profit before exchange loss, interest, depreciation and taxation	486,343	404,516
Exchange (loss)/gain on foreign currency loans	(5,192)	3,466
Net interest cost	(81,482)	(63,900)
Depreciation on property, plant and equipment	(194,590)	(173,984)
Profit before income tax	205,079	170,098
Income tax expense	(64,002)	(49,600)
Profit after taxation	141,077	120,498
Attributable to:		
Equity holders of the Company	125,259	133,601
Non-controlling interest	15,818	(13,103)
	141,077	120,498
Earnings per share for profit attributable to the equity holders of the Company		
- basic (Shs per share)	0.69	0.90
Weighted average number of shares (000s)	182,174	148,211

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Six months to 30-Jun-13 Shs'000	Six months to 30-Jun-12 Shs'000
Profit after taxation	141,077	120,498
Other comprehensive income: Items net of tax		
Currency translation differences	(34,999)	22,588
Total comprehensive income	106,078	143,086
Attributable to:		
Equity holders of the Company	90,260	156,189
Non-controlling interest	15,818	(13,103)
	106,078	143,086

SUMMARISED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	30-Jun-13 Shs'000	30-Jun-12 Shs'000
CAPITAL EMPLOYED		
Equity	10,220,712	8,134,770
Non-current liabilities	3,253,971	3,242,458
	13,474,683	11,377,228
REPRESENTED BY		
Non-current assets	13,647,308	10,586,704
Net current assets	(172,625)	790,524
	13,474,683	11,377,228

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation Reserve Shs'000	Non controlling interest Shs'000	Total Shs'000
At 1 st January 2012	148,211	3,032,431	2,404,495	2,262,751	192,674	(90,593)	96,855	8,046,824
Comprehensive income for the period								
Profit for the period	-	-	-	133,601	-	-	(13,103)	120,498
Other comprehensive income:								
Currency translation differences	-	-	-	-	-	22,588	-	22,588
Total other comprehensive income	-	-	-	-	-	22,588		22,588
Total comprehensive income for the period	-	-	-	133,601	-	22,588	(13,103)	143,086
Transaction with owners								
Dividends:								
- final for 2011 partly paid					(55,140)	-	-	(55,140)
At 30th June 2012	148,211	3,032,431	2,404,495	2,396,352	137,534	(68,005)	83,752	8,134,770
	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation Reserve Shs'000	Non controlling interest Shs'000	Total Shs'000
At 1 st January 2013	148,211	3,032,431	2,370,118	2,638,137	192,674	(256,921)	56,760	8,181,410
Comprehensive income for the period								
Profit for the period	-	-	-	125,259	-	-	15,818	141,077
Other comprehensive income:								
Currency translation differences	-	-	-	-	-	(34,999)	-	(34,999)
Total other comprehensive income	-	-	-	-	-	(34,999)		(34,999)
Total comprehensive income for the period	-	-	-	125,259	-	(34,999)	15,818	106,078
Transaction with owners								
Issue of shares	33,963	1,360,237	-	-	-	-	638,548	2,032,748
Dividends:								
- final for 2012 partly paid	-	-	-	-	(99,524)	-	-	(99,524)
At 30th June 2013	182,174	4,392,668	2,370,118	2,763,396	93,150	(291,920)	711,126	10,220,712

SUMMARISED CONSOLIDATED STATEMENT OF CASH FLOWS

	Six months to 30-Jun-13 Shs'000	Six months to 30-Jun-12 Shs'000
Net cash generated from operating activities	280,888	320,036
Net cash used in investing activities	(1,705,599)	(324,342)
Net cash from/(used in) financing activities	1,190,864	(86,403)
Decrease in cash and cash equivalents	(233,847)	(90,709)
Movement in cash and cash equivalents		
At start of period	47,650	340,044
Effects of currency translation differences	(1,550)	(4,170)
Decrease in cash and cash equivalents	(233,847)	(90,709)
At end of period	(187,747)	245,165

Commentary

The Company faced a challenging business landscape in Kenya during the first half of year 2013, as all foreign business segments took a cautious approach due to the uncertain political environment as well as the travel advisories issued by some governments in the source markets during the pre and post-General Elections. On a positive note, the peaceful elections helped to further strengthen Kenya's reputation as one of Africa's stable democracies and a forecast business outlook for the peak season from July to October 2013 is at healthy levels.

Serena Tanzania and Uganda recorded good performance during the period under review and the outlook for the second half of year 2013 is at encouraging levels.

The results for the first half of the year are not a basis of forecasting a full year's results due to the seasonal nature of the Tourism Industry in East Africa and the fact that the business outlook for the peak season (July to October 2013) is at healthy levels. The Management therefore remains optimistic that the Company will record satisfactory results at the end of the year.

The Company continues to concentrate on the new and emerging markets in line with the "Alternative Markets Strategy" adopted early last year. The strategy which extends marketing and sales outreach to the Middle East, India, China, Japan and Africa is expected to increase production during the year, thus compensating for the low business realizations expected from the traditional source markets (in particular Europe and the United Kingdom).

The Group continued to implement refurbishment of existing properties, appropriate Human Resource Management practices and sound Corporate Social Responsibility activities that complement its long-term business strategy, just as it continues to pursue new business opportunities in line with its diversification policy and strategy. As has been the case previously, the Board and Management remain confident that, notwithstanding the challenging business environment, the Group has the inherent strength and business resilience to continue to focus on its long-term growth prospects, thus maintaining its market share and its leading position in the industry.

In line with the Company's policy, the Board of Directors does not recommend the declaration of an interim dividend.

By Order of the Board

Dominic Ng'ang'a
COMPANY SECRETARY
12 August, 2013



SERENA HOTELS

SAFARI LODGES AND CAMPS

HOTELS . RESORTS
